

Indian Smartphone Market Watch Q2 of 2019

Company	2019Q2 shipment volumes	2019Q2 market share	2018Q2 shipment volumes	2018Q2 market share	Year-over-year unit change (2019Q2 over 2018Q2)
Xiaomi	10.4	28.3%	10.0	29.7	4.8%
Samsung	9.3	25.3%	8.0	23.9%	16.6%
Vivo	5.6	15.1%	4.2	12.6%	31.6%
Oppo	3.6	9.7%	2.5	7.6%	41.0%
Realme	2.8	7.7%	0.4	1.2%	602.4%
Others	5.1	13.9%	8.4	25.0%	-39.1%
Total	36.9	100.0%	33.5	100.0%	9.9%

(Source: IDC)

cent of the market below US\$ 200 price segment. However, the fastest growing segment was the US\$ 200 to US\$ 300 one with 105.2 per cent YoY growth. This was mainly due to demand from customers looking to upgrade, additionally fuelled by China-based brands that are bringing innovations and flagship-like designs at mid-price segments.

Joshi further adds, "The US\$ 400 to US\$ 600 was the second-fastest-growing segment with 16.3 per cent YoY growth in the second quarter of 2019. OnePlus led this segment with 63.6 per cent share at the back of its newly-launched OnePlus 7 series.

"In the premium (US\$ 500 +) segment, Apple overtook Samsung for the leadership position with an overall share of 41.2 per cent in the second quarter of 2019 as iPhone XR demand saw an uplift after the price drop and aided by heavy promotional activities."

The feature phone market continued its decline with shipments of 32.4 million units, registering a drop of 26.3 per cent YoY in the second quarter of 2019. This was due to lower shipments of 4G-enabled feature phones with 40.3 per cent YoY decline in the second quarter of 2019.

The 2G feature phone segment also declined as challenges remain for Indian brands along with small players facing heat owing to duty hikes on imports.

From a technology perspective, the market will be defined by such emerging trends as:

- Advanced devices enabled with 5G, the Internet of Things (IoT) and augmented reality (AR)

- Automated manufacturing processes utilising real-time analytics and robotics

- Digital product design and advanced production using innovative casing materials through 3D printing

- Advanced touchscreen technologies

- Fast charging capacity with long battery life

- Flexible cellphones with folding capacity

These trends have the potential to take the Indian market to the next level.

Challenges at a glance

Despite being referred to as an emerging industry, the mobile manufacturing market has some challenges and bottlenecks. Some of these are as follows:

Low manufacturing value added.

Inclusion of manufacturing value added (MVA) feature by domestic manufacturers is comparatively low.

This could be because they have to import a major part of the components used in manufacturing. There has been a rise in cellphone companies entering the Indian market. Combining this with manufacturers' dependency on import, manufacturing of components and equipment under Make in India initiative is crucial, and must receive some support and encouragement from the government.

Lack of investment in R&D.

Patent holders of indigenous mobile technology do not believe in investing money in R&D as they feel that they do not get good returns. R&D is necessary for any industry to grow.

Manufacturers have also voiced concern over high claims with respect to the royalty applicable on using licensed technologies. Though smartphone sales have increased in volume, as well as in value, royalty generated by patent holders remained unchanged. Mobile manufacturers think that the cellphone sector needs more consideration within Make in India campaign by the government of India to enhance the role of the manufacturing segment to the country's GDP.

Lack of a component ecosystem.

With so much being done to boost the manufacturing industry in the country, India still has a long way to go in terms of producing world-class components. One of the main reasons cited by industry players is the ten per cent duty levied by the government on PCBs, which is making the road ahead difficult to establish a manufacturing unit in the country.

Many non-electronics as well as electronics components are required to make a smartphone complete. Out of these, the primary and most vital component is the main board apart from sensor flex. These make up for 58 per cent of the total cost of materials used in making a phone. The remaining 32 per cent of the billing comes from display, camera and battery. A major part of these important components is imported from other countries. These components have almost no contribution to the manufacturing industry in the country.

Due to the lack of a balanced ecosystem with respect to electronics component manufacturers in the country, India looks towards China for imported components and spare parts.

Inverted duty structure.

Inverted duty arrangement in India is a major drawback for cellphone manufacturers in India. As per this structure, the import duty levied on the final product is low in comparison to that imposed on spare parts and components required to make cellphones.

This gives rise to the situation wherein domestically-manufactured devices are uncompetitive in comparison to imported, big-brand devices. Hence, they struggle to make their mark in the market or beat the competition to find a place, and share in the mobile market. **EFY**